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Citizenship: Chinese

Education

University of Zurich and Swiss Finance Institute 2021 – 2027 (expected)
Ph.D. in Finance
Advisors: Per Östberg and Steven Ongena

University of Zurich 2018 – 2020
M.A. in Banking and Finance, *summa cum laude*
Minor in Quantitative Finance

Chongqing University 2013 – 2017
Bachelor of Engineering

References

Prof. Per Östberg
Associate Professor of Finance
University of Zurich and SFI
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Prof. Steven Ongena
Professor of Banking
University of Zurich and SFI
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Prof. Andreas Fuster
Professor of Finance
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Research Fields

Primary: Financial Intermediation, Banking, Information in Credit Markets
Secondary: Corporate Finance, Empirical Credit Markets

Job Market Paper

The Retreat of Local Banking: Spillover Effects on SME Credit (with Lorenzo Ferrante)

As technological transformation leads banks to retreat from local markets, in a frictionless credit market, firms can be expected to rely on other lenders to step in as substitutes. Instead, using Italian loan-level data with lenders' default forecasts, we find that when a bank leaves a municipality, an affected firm's incumbent co-lenders act as complements and cut credit as well. One year after the exit, incumbent co-lenders account for 69 percent of the decline in the firm's credit from its incumbent banks, and relative to their other borrowers in the same municipality, they cut credit to affected firms by an extra 4.2 percent. The cut reflects both an increase in borrower risk and a deterioration of lender information: affected firms default more often, and the co-lenders' default forecasts become less accurate. Co-lenders with a branch in the municipality lose little forecast accuracy and cut about half as much as those without one, implying that lost information accounts for 29 percent of the cut. Lending by a firm's other banks is thus complementary to local banks' presence, implying that branch closures generate negative externalities across the wider credit market.

Working Papers

Impeded Flights in European Sovereign Debt Markets (with Lorenzo Ferrante, Per Östberg and Thomas Richter)

Theory predicts that yield shocks trigger flights from risky to safe assets. In the European sovereign bond market, these flights are impeded: after stress events, trading volume falls by 30% over the following week rather than increasing. The mechanism is a collapse in liquidity supply: bid-ask spreads rise by 56% and market depth falls sharply. Exploiting that the same bond trades on both a domestic and a pan-European MTS platform, we show that spreads widen more, depth falls more and volume drops more on the domestic platform, where market makers hold more of their own sovereign's debt. Bank-dealers' concentrated exposure to sovereign risk can freeze a central secondary market when rebalancing is most needed.

Work in Progress

Bank Competition and Information Production

How competition affects banks' production of private information about borrowers is a long-standing question, yet this information is difficult to observe. Market outcomes such as loan terms or credit volumes confound lender information with market power, credit demand, and borrower risk. I address this challenge using AnaCredit, which records the internal probability of default (PD) each bank assigns to each borrower. Using multiple lenders' assessments of the same firm in the same month, I am able to compare banks' information while holding the borrower fundamentals fixed. I show that PD assessments capture meaningful private information: cross-bank PD disagreement is greater for opaque firms, predicts default beyond bank-specific rating styles, and declines as new lenders learn. Turning to local market structure, I find that PDs discriminate less accurately where local competition is stronger, and relationship lenders' informational advantage does not grow with competition.

Winners Are Not Cursed

Theory warns that a bank winning a contested borrower is cursed by its own optimism. Yet preliminary evidence shows that the most optimistic lender's probability of default (PD) predicts default beyond the lenders' average assessment, whereas the most pessimistic lender's PD does not do so robustly. This paper studies when private information outweighs the winner's curse, separating these forces from search-based adverse selection.

Presentations

2026 IBEFA Summer Meeting at the WEAI Annual Conference, Denver†; SFI Research Days; European Central Bank*; University of Zurich

2025 Annual Financial Markets and Liquidity Conference, Budapest; Rising Scholars in Finance Conference, Zurich (poster)†

Earlier University of Zurich (2022, 2024)

† also discussant * presented by coauthor

Fellowships and Awards

Award of Excellence in Teaching Support, University of Zurich 2023/2024
Swiss Finance Institute PhD Scholarship 2021 – 2022

Teaching Experience

University of Zurich

Empirical Corporate Finance (Ph.D.) 2024 – present
Teaching assistant and exercise sessions; teaching evaluation 6.0 / 6.0

Seminar in Takeovers, Restructuring and Corporate Governance (M.A.) 2020 – present
Teaching assistant

Skills

Programming: Stata, Python, R, LaTeX
Languages: Mandarin (native), English (fluent), German (B1)